

Option to Purchase Agreement To Be Used With OREA Form 104

Form 103

for use in the Province of Ontario

This Option to Purchase Agreement dated this day of 20.....

OPTIONEE:
(Full Legal Name of all Optionees)

OPTIONOR:
(Full Legal Name of all Optionors)

REAL PROPERTY:

Address

fronting on the side of

in the

and having a frontage of more or less by a depth of more or less

and legally described as

..... (the "property")
(Legal description of land including easements not described elsewhere)

CONSIDERATION: In Consideration of the sum of: Dollars (CDN\$)

..... Dollars (Consideration)
paid by the Optionee to the (Consideration Holder) by negotiable cheque (the receipt whereof is hereby acknowledged) the Optionor grants to the Optionee the sole and exclusive Option, irrevocable within the time for exercise herein limited, to purchase the property described above and owned by the Optionor, for the following Purchase Price.

..... Dollars (CDN\$)

..... Dollars (Purchase Price)

On exercise of the Option the Optionee submits Canadian dollars

(CDN\$) by negotiable cheque payable to (Deposit Holder), as a deposit, to be held in trust pending completion or other termination of the Agreement arising out of the exercise of the Option hereby given. The parties to this Agreement hereby acknowledge that, unless otherwise provided for in this Agreement, the Deposit Holder shall place the deposit in trust in the Deposit Holder's non-interest bearing Real Estate Trust Account and no interest shall be earned, received or paid on the deposit.

The sum of Canadian dollars (CDN\$)
already paid to the Consideration Holder as Consideration for the granting of this Option, and the sum paid upon the exercise of this Option shall be credited to the Optionee as a deposit and allowed as part of the Purchase Price.

Optionee agrees to pay the balance as more particularly set out in Schedule A attached.

SCHEDULE(S) A attached hereto form(s) part of this Agreement.

1. IRREVOCABILITY: This Offer shall be irrevocable by until on the
(Optionor/Optionee) (a.m./p.m.)
..... day of, 20....., after which time, if not accepted, this Offer shall be null and void and the Consideration shall be returned to the Optionee in full without interest.

2. COMPLETION DATE: The sale arising from this Option shall be completed by no later than 6:00 p.m. on the day of
20..... Upon completion, vacant possession of the property shall be given to the Optionee unless otherwise provided for in this Agreement.

INITIALS OF OPTIONEE(S):

.....

INITIALS OF OPTIONOR(S):

.....



3. **NOTICES:** The Optionor hereby appoints the Listing Brokerage as agent for the Optionor for the purpose of giving and receiving notices pursuant to this Agreement. Where a Brokerage (Optionee's Brokerage) has entered into a representation agreement with the Optionee, the Optionee hereby appoints the Optionee's Brokerage as agent for the purpose of giving and receiving notices pursuant to this Agreement. **The Brokerage shall not be appointed or authorized to be agent for either the Optionee or the Optionor for the purpose of giving and receiving notices where the Brokerage represents both the Optionor and the Optionee (multiple representation) or where the Optionee or the Optionor is a self-represented party.** Any notice relating hereto or provided for herein shall be in writing. In addition to any provision contained herein and in any Schedule hereto, this offer, any counter-offer, notice of acceptance thereof or any notice to be given or received pursuant to this Agreement or any Schedule hereto (any of them, "Document") shall be deemed given and received when delivered personally or hand delivered to the Address for Service provided in the Acknowledgement below, or where a facsimile number or email address is provided herein, when transmitted electronically to that facsimile number or email address, respectively, in which case, the signature(s) of the party (parties) shall be deemed to be original.

FAX No.: FAX No.:
(For delivery of Documents to Optionee) (For delivery of Documents to Optionor)

Email Address: Email Address:
(For delivery of Documents to Optionee) (For delivery of Documents to Optionor)

4. **CHATELS INCLUDED:**

.....
.....
.....
.....

Unless otherwise stated in this Agreement or any Schedule hereto, Optionor agrees to convey all fixtures and chattels included in the Purchase Price free from all liens, encumbrances or claims affecting the said fixtures and chattels.

5. **FIXTURES EXCLUDED:**

.....
.....
.....
.....

6. **RENTAL ITEMS (Including Lease, Lease to Own):** The following equipment is rented and **not** included in the Purchase Price. The Optionee agrees to assume the rental contract(s), if assumable:

.....
.....
.....
.....

The Optionee agrees to co-operate and execute such documentation as may be required to facilitate such assumption.

7. **HST:** If the sale of the property (Real Property as described above) is subject to Harmonized Sales Tax (HST), then such tax shall be in addition to the Purchase Price. The Optionor will not collect HST if the Optionee provides to the Optionor a warranty that the Optionee is registered under the Excise Tax Act ("ETA"), together with a copy of the Optionee's ETA registration, a warranty that the Optionee shall self-assess and remit the HST payable and file the prescribed form and shall indemnify the Optionor in respect of any HST payable. The foregoing warranties shall not merge but shall survive the completion of the transaction. If the sale of the property is not subject to HST, Optionor agrees to certify on or before closing, that the transaction is not subject to HST. Any HST on chattels, If applicable, is not included in the Purchase Price.

8. **OPTION EXERCISED:** The Option hereby granted may be exercised by the Optionee until on the day of
(a.m./p.m.)
..... 20....., and shall be exercised by notice delivered to the Optionor in accordance with the notice provisions set out in this Agreement. In the event that such Option is not exercised in the manner aforesaid, this Option and everything herein contained shall be null and void and no longer binding upon any of the parties hereto and the Optionor shall be entitled to retain the said sum given as Consideration for the granting of this Option. Upon the exercise of this Option by Optionee in the manner aforesaid, this Option shall then become a binding Agreement between the parties and the same shall be completed upon the terms hereinbefore and hereinafter set forth.

INITIALS OF OPTIONEE(S):

.....

INITIALS OF OPTIONOR(S):

.....

9. TITLE SEARCH: The Optionee shall be allowed until 6:00 p.m. on the day of, 20..... (Requisition Date) to: examine the title to the property at Optionee's own expense and until the earlier of: (i) thirty days from the later of the Requisition Date or the date on which the conditions in this Agreement are fulfilled or otherwise waived or; (ii) five days prior to completion, to satisfy Optionee that there are no outstanding work orders or deficiency notices affecting the property, and that its present use :.....

..... may be lawfully continued; and that the principal building may be insured against risk of fire. Optionor hereby consents to the municipality or other governmental agencies releasing to Optionee details of all outstanding work orders and deficiency notices affecting the property, and Optionor agrees to execute and deliver such further authorizations in this regard as Optionee may reasonably require.

10. FUTURE USE: Optionor and Optionee agree that there is no representation or warranty of any kind that the future intended use of the property by Optionee is or will be lawful except as may be specifically provided for in this Agreement.

11. TITLE: Provided that the title to the property is good and free from all registered restrictions, charges, liens, and encumbrances except as otherwise specifically provided in this Agreement and save and except for (a) any registered restrictions or covenants that run with the land providing that such are complied with; (b) any registered municipal agreements and registered agreements with publicly regulated utilities providing such have been complied with, or security has been posted to ensure compliance and completion, as evidenced by a letter from the relevant municipality or regulated utility; (c) any minor easements for the supply of domestic utility or telecommunication services to the property or adjacent properties; and (d) any easements for drainage, storm or sanitary sewers, public utility lines, telecommunication lines, cable television lines or other services which do not materially affect the use of the property. If within the specified times referred to in paragraph 9 any valid objection to title or to any outstanding work order or deficiency notice, or to the fact the said present use may not lawfully be continued, or that the principal building may not be insured against risk of fire is made in writing to Optionor and which Optionor is unable or unwilling to remove, remedy or satisfy or obtain insurance save and except against risk of fire (Title Insurance) in favour of the Optionee and any mortgagee, (with all related costs at the expense of the Optionor), and which Optionee will not waive, this Agreement notwithstanding any intermediate acts or negotiations in respect of such objections, shall be at an end and all monies paid shall be returned without interest or deduction and Optionor, Listing Brokerage and Co-operating Brokerage shall not be liable for any costs or damages. Save as to any valid objection so made by such day and except for any objection going to the root of the title, Optionee shall be conclusively deemed to have accepted Optionor's title to the property.

12. CLOSING ARRANGEMENTS: Where each of the Optionor and Optionee retain a lawyer to complete the Agreement of Purchase and Sale of the property, and where the transaction will be completed by electronic registration pursuant to Part III of the Land Registration Reform Act, R.S.O. 1990, Chapter L4 and the Electronic Registration Act, S.O. 1991, Chapter 44, and any amendments thereto, the Optionor and Optionee acknowledge and agree that the exchange of closing funds, non-registrable documents and other items (the "Requisite Deliveries") and the release thereof to the Optionor and Optionee will (a) not occur at the same time as the registration of the transfer/deed (and any other documents intended to be registered in connection with the completion of this transaction) and (b) be subject to conditions whereby the lawyer(s) receiving any of the Requisite Deliveries will be required to hold same in trust and not release same except in accordance with the terms of a document registration agreement between the said lawyers. The Optionor and Optionee irrevocably instruct the said lawyers to be bound by the document registration agreement which is recommended from time to time by the Law Society of Ontario. Unless otherwise agreed to by the lawyers, such exchange of Requisite Deliveries shall occur by the delivery of the Requisite Deliveries of each party to the office of the lawyer for the other party or such other location agreeable to both lawyers.

13. DOCUMENTS AND DISCHARGE: Optionee shall not call for the production of any title deed, abstract, survey or other evidence of title to the property except such as are in the possession or control of Optionor. If requested by Optionee, Optionor will deliver any sketch or survey of the property within Optionor's control to Optionee as soon as possible and prior to the Requisition Date. If a discharge of any Charge/Mortgage held by a corporation incorporated pursuant to the Trust And Loan Companies Act (Canada), Chartered Bank, Trust Company, Credit Union, Caisse Populaire or Insurance Company and which is not to be assumed by Optionee on completion, is not available in registrable form on completion, Optionee agrees to accept Optionor's lawyer's personal undertaking to obtain, out of the closing funds, a discharge in registrable form and to register same, or cause same to be registered, on title within a reasonable period of time after completion, provided that on or before completion Optionor shall provide to Optionee a mortgage statement prepared by the mortgagee setting out the balance required to obtain the discharge, and, where a real-time electronic cleared funds transfer system is not being used, a direction executed by Optionor directing payment to the mortgagee of the amount required to obtain the discharge out of the balance due on completion.

14. INSPECTION: Optionee acknowledges having had the opportunity to inspect the property and understands that upon notification of exercise of the Option, there shall be a binding agreement of purchase and sale between Optionee and Optionor. **The Optionee acknowledges having the opportunity to include a requirement for a property inspection report in this Agreement and agrees that except as may be specifically provided for in this Agreement, the Optionee will not be obtaining a property inspection or property inspection report regarding the property.**

15. INSURANCE: All buildings on the property and all other things being purchased shall be and remain until completion at the risk of Optionor. Pending completion, Optionor shall hold all insurance policies, if any, and the proceeds thereof in trust for the parties as their interests may appear and upon exercise of the said Option, in the event of substantial damage, Optionee may either terminate this Agreement and have all monies paid returned without interest or deduction or else take the proceeds of any insurance and complete the purchase. No insurance shall be transferred on completion. If Optionee is taking back a Charge/ Mortgage, or Optionee is assuming a Charge/Mortgage, Optionee shall supply Optionor with reasonable evidence of adequate insurance to protect Optionor's or other mortgagee's interest on completion.

INITIALS OF OPTIONEE(S):

INITIALS OF OPTIONOR(S):

- 16. PLANNING ACT:** Provided that this Agreement shall be effective to create an interest in the property only if the subdivision control provisions of The Planning Act are complied with by Optionor on or before completion and Optionor hereby covenants to proceed diligently at the expense of the Optionor to obtain any necessary consent on or before completion.
- 17. RESIDENCY:** (a) Subject to (b) below, the Optionor represents and warrants that the Optionor is not and on completion will not be a non-resident under the non-residency provisions of the Income Tax Act which representation and warranty shall survive and not merge upon the completion of this transaction and the Optionor shall deliver to the Optionee a statutory declaration that Optionor is not then a non-resident of Canada;
(b) provided that if the Optionor is a non-resident under the non-residency provisions of the Income Tax Act, the Optionee shall be credited towards the Purchase Price with the amount, if any, necessary for Optionee to pay to the Minister of National Revenue to satisfy Optionee's liability in respect of tax payable by Optionor under the non-residency provisions of the Income Tax Act by reason of this sale. Optionee shall not claim such credit if Optionor delivers on completion the prescribed certificate.
- 18. ADJUSTMENTS:** Any rents, mortgage interest, realty taxes including local improvement rates and unmetered public or private utility charges and unmetered cost of fuel, as applicable, shall be apportioned and allowed to the day of completion, the day of completion itself to be apportioned to Optionee.
- 19. PROPERTY ASSESSMENT:** The Optionee and Optionor hereby acknowledge that the Province of Ontario has implemented current value assessment and properties may be re-assessed on an annual basis. The Optionee and Optionor agree that no claim will be made against the Optionee or Optionor, or any Brokerage, Broker or Salesperson, for any changes in property tax as a result of a re-assessment of the property, save and except any property taxes that accrued prior to the completion of this transaction.
- 20. DOCUMENT PREPARATION:** The Transfer/Deed shall, save for the Land Transfer Tax Affidavit, be prepared in registrable form at the expense of Optionor, and any mortgage or charge to be given back by the Optionee to the Optionor at the expense of the Optionee. If requested by Optionee, Optionor covenants that the Transfer/Deed to be delivered on completion shall contain the statements contemplated by Section 50 (22) of the Planning Act, R.S.O. 1990.
- 21. TIME LIMITS:** Time shall in all respects be of the essence hereof provided that the time for doing or completing of any matter provided for herein may be extended or abridged by an agreement in writing signed by Optionor and Optionee or by their respective solicitors who may be specifically authorized in that regard.
- 22. TENDER:** Any tender of documents or money hereunder may be made upon Optionor or Optionee or their respective lawyers on the day set for completion. Money shall be tendered with funds drawn on a lawyer's trust account in the form of a bank draft, certified cheque or wire transfer using the Lynx high value payment system as set out and prescribed by the *Canadian Payments Act (R.S.C., 1985, c. C-21)*, as amended from time to time.
- 23. FAMILY LAW ACT:** The Optionor warrants that spousal consent is not necessary to this transaction under the provisions of the Family Law Act, R.S.O. 1990, unless the spouse of the Optionor has executed the consent hereinafter provided.
- 24. UFFI:** The Optionor represents and warrants to the Optionee that during the time the Optionor has owned the property, the Optionor has not caused any building on the property to be insulated with insulation containing urea formaldehyde, and that to the best of the Optionor's knowledge no building on the property contains or has ever contained insulation that contains urea formaldehyde. This warranty shall survive and not merge on the completion of this transaction, and if the building is part of a multiple unit building, this warranty shall only apply to that part of the building which is the subject of this transaction.
- 25. LEGAL, ACCOUNTING AND ENVIRONMENTAL ADVICE:** The parties acknowledge that any information provided by the Brokerage is not legal, tax or environmental advice.
- 26. CONSUMER REPORTS:** The Optionee is hereby notified that a consumer report containing credit and/or personal information may be referred to in connection with this transaction.
- 27. AGREEMENT IN WRITING:** If there is conflict between any provision written or typed in this Agreement (including any Schedule to this Agreement) and any provision in the printed portion hereof, the written or typed provision shall supersede the printed provision to the extent of such conflict. This Agreement including any Schedules attached hereto, shall constitute the entire agreement between the Optionee and Optionor. There is no representation, warranty, collateral agreement or condition, whether direct or collateral or expressed or implied, which induced any party hereto to enter into this Agreement or on which reliance is placed by any such party, or which affects this Agreement or the property or supported hereby, other than as expressed herein. This Agreement shall read with all changes of gender or number required by the context.
- 28. ELECTRONIC SIGNATURES:** The parties hereto consent and agree to the use of electronic signatures pursuant to the *Electronic Commerce Act, 2000, S.O. 2000, c17* as amended from time to time with respect to this Agreement and any other documents respecting this transaction.

INITIALS OF OPTIONEE(S):

INITIALS OF OPTIONOR(S):



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29. TIME AND DATE: Any reference to a time and date in this Agreement shall mean the time and date where the property is located.

SIGNED, SEALED AND DELIVERED in the presence of: IN WITNESS whereof I have hereunto set my hand and seal:

..... (Witness)	 (Optionor/Optionee)	 (Seal)	 (Date)
..... (Witness)	 (Optionor/Optionee)	 (Seal)	 (Date)
..... (Witness)	 (Optionor/Optionee)	 (Seal)	 (Date)
..... (Witness)	 (Optionor/Optionee)	 (Seal)	 (Date)
..... (Witness)	 (Optionor/Optionee)	 (Seal)	 (Date)

SPOUSAL CONSENT: The undersigned spouse of the Optionor hereby consents to the disposition evidenced herein pursuant to the provisions of the Family Law Act, R.S.O. 1990, and hereby agrees to execute all necessary or incidental documents to give full force and effect to the sale evidenced herein.

..... (Witness)	 (Spouse)	 (Seal)	 (Date)
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CONFIRMATION OF ACCEPTANCE: Notwithstanding anything contained herein to the contrary, I confirm this Agreement with all changes both typed and written was finally accepted by all parties at this day of....., 20.....
(a.m./p.m.)

.....
(Signature of Optionor or Optionee)

INFORMATION ON BROKERAGE(S)

Listing Brokerage	 (Tel. No.)
..... (Salesperson/Broker/Broker of Record Name)	
Co-op/Optionee Brokerage	 (Tel. No.)
..... (Salesperson/Broker/Broker of Record Name)	

ACKNOWLEDGEMENT

I acknowledge receipt of my signed copy of this accepted Agreement and I authorize the Brokerage to forward a copy to my lawyer.

..... (Optionor)	 (Date)
..... (Optionor)	 (Date)
Address for Service.....	
..... (Tel. No.)	
Optionor's Lawyer.....	
Address.....	
Email.....	
..... (Tel. No.)	 (Fax No.)

I acknowledge receipt of my signed copy of this accepted Agreement and I authorize the Brokerage to forward a copy to my lawyer.

..... (Optionee)	 (Date)
..... (Optionee)	 (Date)
Address for Service.....	
..... (Tel. No.)	
Optionee's Lawyer.....	
Address.....	
Email.....	
..... (Tel. No.)	 (Fax No.)

FOR OFFICE USE ONLY

COMMISSION TRUST AGREEMENT

To: Co-operating Brokerage shown on the foregoing Option to Purchase Agreement:

In consideration for the Co-operating Brokerage procuring the foregoing Option to Purchase Agreement, I hereby declare that all moneys received or receivable by me in connection with the Transaction as contemplated in the MLS® Rules and Regulations of my Real Estate Board shall be receivable and held in trust. This agreement shall constitute a Commission Trust Agreement as defined in the MLS® Rules and shall be subject to and governed by the MLS® Rules pertaining to Commission Trust.

DATED as of the date and time of the acceptance of the foregoing Option to Purchase Agreement.

Acknowledged by:

.....
(Authorized to bind the Listing Brokerage)

.....
(Authorized to bind the Co-operating Brokerage)

Schedule A

Option to Purchase Agreement

This Schedule is attached to and forms part of the Agreement between:

OPTIONEE:, and

OPTIONOR:

for the property known as

..... dated the day of, 20.....

Optionee agrees to pay the balance as follows:

This form must be initialised by all parties to the Agreement.

INITIALS OF OPTIONEE(S):

INITIALS OF OPTIONOR(S):